

IRS final regulations · Federal

Certain CRATs are now a listed transaction

Treasury and the IRS finalised regulations identifying certain charitable remainder annuity trust arrangements as listed transactions, effective July 9, 2026. Participants file Form 8886; material advisors file Form 8918. Swipe



CRAT listed transaction · New disclosure duty

Who files what

Participating taxpayer	individual / trust	8886
Material advisor	promoter side	8918
Charitable remainderman only	carve-out	none

The structure being targeted

- 1** The pattern: fund a purported CRAT with appreciated property, sell that property inside the trust, buy an annuity with the proceeds, then report the annuity payments as if the trust distribution rules did not apply.
- 2** Once listed, participants disclose on Form 8886 with their return and material advisors on Form 8918. Separate penalties apply for failure to disclose.
- 3** An organisation whose only role or interest is as the charitable remainderman is not treated as a participant, and is outside the section 4965 excise tax and its disclosure rules.
- 4** If you have CRAT clients, pull the formation and